

# Downside Scenario: EM Vulnerabilities to a Sustained Geopolitical Shock

## International Commentary

Economist(s)



[Brendan McKenna](#)

- Our base case scenario for Middle East events is still for a short-lived disruption to the global economy and financial markets ([Wells Fargo - The Conflict with Iran: FAQ with the Team](#)). But the downside scenario of a prolonged rise in geopolitical uncertainty and sustained markets volatility is increasingly more likely and needs to be evaluated. We assess this elevated geopolitical uncertainty shock scenario for emerging market economies and financial markets through a vulnerability lens.
- Most EMs have reduced vulnerabilities to a sudden stop in capital flows, especially the systemically important countries (e.g., China and India). However, in the event of a sudden stop, countries reliant on external financing with adverse sovereign debt profiles and inadequate FX reserves are most vulnerable. Those with elevated vulnerabilities can experience balance of payments crises, sharp economic slowdowns, or worse, sovereign default. Argentina and Turkey flag as most vulnerable, while Brazil and Mexico have only moderate vulnerability to a stop in capital flows.
- A sustained geopolitical shock can be another test to the resilience of EM FX. Over the last few days, EM FX has come under broad pressure, but market participants may show a renewed focus on fundamentals and valuations in a shock. Currencies associated with weak fundamentals and expensive valuations can see a sharp reversal (e.g., COP, MXN and ZAR). Countries associated with stronger FX fundamentals and more attractive valuations (e.g., TWD and KRW) can be more protected. At the same time, keep an eye on our framework's "max selloff" levels for whether a currency has become too misaligned or is detached from underlying FX fundamentals. "Buying" or "hedging" opportunities may become available should those levels be breached.
- A combined FX and inflation shock via elevated oil prices limits EM central banks' ability to cut policy rates further. Select central banks may still be able to cut as real interest rates are elevated and the shock hits less acutely (e.g., Brazil, albeit with less space). Others could see easing cycles end early as inflationary pressure builds from higher oil prices and FX pass-through, complicating already existing inflation pressures (e.g., Banxico). A few could restart tightening cycles even if growth prospects are damaged, as financial stability and containing inflation expectations becomes paramount (e.g., Reserve Bank of India).
- Should an affordability shock ensue from markets volatility and/or higher non-discretionary expenditures governments may be limited in their ability to respond via fiscal support. Public finance positions are already weak across EM, except for a select few. For certain governments, rising oil prices can generate increased revenues, boost growth prospects and offer new space to offset affordability issues. Administrations will need to weigh that dynamic against already wide fiscal deficits and large debt burdens (e.g., Colombia). But should governments without fiscal headroom ignore public finance limitations sovereign bond markets may turn volatile, and financing issues could follow.

## A sustained Middle East geopolitical shock could spark a “sudden stop” of capital flows into EM

Emerging markets have attracted capital inflows over the last 12-18 months, but should investor sentiment shift away from EM, economies reliant on external financing could experience crisis conditions. Argentina and Turkey are highly vulnerable, China and India are less sensitive, although most EMs have sources of vulnerability to a sudden stop scenario

|              | Overall EM Sudden Stop Vulnerability | Current Account Balance (% of GDP) | FX Reserve Adequacy (% of ST Debt) | Foreign Part. in LCY Debt (% of LCY Debt) | FX Denominated Debt (% of Gov't Debt) | FX Regime (Free, Managed Float or Crawl) |
|--------------|--------------------------------------|------------------------------------|------------------------------------|-------------------------------------------|---------------------------------------|------------------------------------------|
| Argentina    |                                      |                                    |                                    |                                           |                                       |                                          |
| Turkey       |                                      |                                    |                                    |                                           |                                       |                                          |
| Indonesia    |                                      |                                    |                                    |                                           |                                       |                                          |
| Colombia     |                                      |                                    |                                    |                                           |                                       |                                          |
| Chile        |                                      |                                    |                                    |                                           |                                       |                                          |
| Poland       |                                      |                                    |                                    |                                           |                                       |                                          |
| Hungary      |                                      |                                    |                                    |                                           |                                       |                                          |
| Peru         |                                      |                                    |                                    |                                           |                                       |                                          |
| Philippines  |                                      |                                    |                                    |                                           |                                       |                                          |
| South Africa |                                      |                                    |                                    |                                           |                                       |                                          |
| South Korea  |                                      |                                    |                                    |                                           |                                       |                                          |
| Mexico       |                                      |                                    |                                    |                                           |                                       |                                          |
| Brazil       |                                      |                                    |                                    |                                           |                                       |                                          |
| India        |                                      |                                    |                                    |                                           |                                       |                                          |
| Israel       |                                      |                                    |                                    |                                           |                                       |                                          |
| Russia       |                                      |                                    |                                    |                                           |                                       |                                          |
| Taiwan       |                                      |                                    |                                    |                                           |                                       |                                          |
| China        |                                      |                                    |                                    |                                           |                                       |                                          |
| Thailand     |                                      |                                    |                                    |                                           |                                       |                                          |

<sup>1</sup> Red indicates "High vulnerability"; Orange indicates "Moderate vulnerability"; Green indicates "Little vulnerability"

Source: IMF, IIF Wells Fargo Economics

## A shock can test the resilience of EM FX. Which currencies are vulnerable and which can be more protected?

Markets are likely to focus on relative fundamentals and valuations in a downside shock. Underlying FX fundamentals are most fragile in Argentina, Colombia and Turkey, but strongest in Peru, Taiwan and China. COP, CLP, MXN, ZAR, IDR, BRL and ILS screen as overvalued, while TWD and KRW valuations appear more attractive

|              | Current Exchange Rate (Level vs. USD) | Max FX Depreciation (Level vs. USD) | Unrealized Max FX Depreciation (% vs. USD) | Q1'2026 FX Vulnerability <sup>1 2</sup> | Current Account Balance (% of GDP) | Real Int. Rate Diff. With U.S. (%) | Import Cover (Months) | Political Risk Indicator |
|--------------|---------------------------------------|-------------------------------------|--------------------------------------------|-----------------------------------------|------------------------------------|------------------------------------|-----------------------|--------------------------|
| Argentina    | 1,411                                 | 1,524                               | (6.4%)                                     |                                         |                                    |                                    |                       |                          |
| Colombia     | 3,790                                 | 4,239                               | (10.1%)                                    |                                         |                                    |                                    |                       |                          |
| Turkey       | 43.98                                 | 46.80                               | (5.5%)                                     |                                         |                                    |                                    |                       |                          |
| Chile        | 909.50                                | 1,003                               | (8.7%)                                     |                                         |                                    |                                    |                       |                          |
| Hungary      | 336.66                                | 371.08                              | (8.7%)                                     |                                         |                                    |                                    |                       |                          |
| Mexico       | 17.72                                 | 20.15                               | (11.6%)                                    |                                         |                                    |                                    |                       |                          |
| South Africa | 16.54                                 | 18.52                               | (10.1%)                                    |                                         |                                    |                                    |                       |                          |
| Indonesia    | 16,872                                | 18,953                              | (10.5%)                                    |                                         |                                    |                                    |                       |                          |
| South Korea  | 1,488                                 | 1,596                               | (6.1%)                                     |                                         |                                    |                                    |                       |                          |
| Philippines  | 58.43                                 | 66.17                               | (11.3%)                                    |                                         |                                    |                                    |                       |                          |
| Poland       | 3.71                                  | 4.10                                | (9.0%)                                     |                                         |                                    |                                    |                       |                          |
| Thailand     | 31.45                                 | 36.39                               | (13.4%)                                    |                                         |                                    |                                    |                       |                          |
| India        | 91.48                                 | 100.38                              | (8.3%)                                     |                                         |                                    |                                    |                       |                          |
| Brazil       | 5.29                                  | 6.03                                | (11.9%)                                    |                                         |                                    |                                    |                       |                          |
| Israel       | 3.10                                  | 3.61                                | (14.1%)                                    |                                         |                                    |                                    |                       |                          |
| Peru         | 3.40                                  | 3.72                                | (8.3%)                                     |                                         |                                    |                                    |                       |                          |
| Taiwan       | 31.63                                 | 32.02                               | (1.1%)                                     |                                         |                                    |                                    |                       |                          |
| China        | 6.92                                  | 7.61                                | (9.0%)                                     |                                         |                                    |                                    |                       |                          |

FX Vulnerability as of 3/3/2026

<sup>1</sup> Red indicates "High vulnerability", Orange indicates "Moderate vulnerability", Green indicates "Low vulnerability"

<sup>2</sup> "High vulnerability" represents maximum peak-to-trough 20% depreciation, "Moderate vulnerability" represents maximum peak-to-trough 15% depreciation, "Low vulnerability" represents maximum peak-to-trough 10% depreciation

Source: IMF, Bloomberg Finance L.P. and Wells Fargo Economics

Should the downside scenario for FX depreciation and an inflation shock via higher oil prices materialize, all EM central banks (ex-PBoC) would lose space to ease monetary policy. A select few may have room for easing (e.g., Brazilian Central Bank), others would likely end the easing cycle (e.g., Banxico), while certain institutions may shift to rate hikes (e.g., Reserve Bank of India)

|                    | Pre-Iran<br>2026 Monetary<br>Policy Space | 2026<br>Monetary Policy<br>Space <sup>1 2</sup> | Real Int. Rate<br>Diff. With Fed<br>(%) | Inflation From<br>CB Target<br>(%) | Economic<br>Growth<br>Momentum | FX Performance<br>vs. USD<br>(Last 3 months) |
|--------------------|-------------------------------------------|-------------------------------------------------|-----------------------------------------|------------------------------------|--------------------------------|----------------------------------------------|
| Hungary            |                                           |                                                 |                                         |                                    |                                |                                              |
| Thailand           |                                           |                                                 |                                         |                                    |                                |                                              |
| Poland             |                                           |                                                 |                                         |                                    |                                |                                              |
| Israel             |                                           |                                                 |                                         |                                    |                                |                                              |
| Chile              |                                           |                                                 |                                         |                                    |                                |                                              |
| Brazil             |                                           |                                                 |                                         |                                    |                                |                                              |
| China <sup>3</sup> |                                           |                                                 |                                         |                                    |                                |                                              |
| South Africa       |                                           |                                                 |                                         |                                    |                                |                                              |
| Philippines        |                                           |                                                 |                                         |                                    |                                |                                              |
| Mexico             |                                           |                                                 |                                         |                                    |                                |                                              |
| Turkey             |                                           |                                                 |                                         |                                    |                                |                                              |
| Colombia           |                                           |                                                 |                                         |                                    |                                |                                              |
| India              |                                           |                                                 |                                         |                                    |                                |                                              |
| South Korea        |                                           |                                                 |                                         |                                    |                                |                                              |
| Indonesia          |                                           |                                                 |                                         |                                    |                                |                                              |
| Peru               |                                           |                                                 |                                         |                                    |                                |                                              |
| Argentina          |                                           |                                                 |                                         |                                    |                                |                                              |

<sup>1</sup> Green indicates "Adequate Monetary Policy Space", Orange indicates "Limited Monetary Policy Space", Red indicates "No Monetary Policy Space"

<sup>2</sup> Adequate Monetary Policy Space represents scope for >50 bps of rate cuts, Limited Monetary Policy Space represents scope for 25-50 bps of rate cuts, No Monetary Policy Space represents scope for 0 rate cuts

<sup>3</sup> People's Bank of China 7 Day Reverse Repurchase Rate

Source: Bloomberg Finance L.P. and Wells Fargo Economics

## Governments may need to offset affordability hits, but can they offer fiscal support without bond market volatility?

Administrations have floated the idea of financial support should affordability issues become apparent. But only a few have fiscal policy space to deliver (e.g., Chile and Peru). Those without fiscal headroom (e.g., Brazil, South Africa and Colombia) risk instability and economic downturns, or if resources are deployed anyway, local bond markets could turn volatile

| Country        | 2026<br>Fiscal Policy<br>Space <sup>1</sup> | Primary Balance<br>(% of GDP) | Interest Expense<br>(% of GDP) | Bond Maturities*<br>(% of GDP) | Gross<br>Gov't Debt<br>(% of GDP) | Auto. Debt<br>Dynamics<br>(Rates-Growth) |
|----------------|---------------------------------------------|-------------------------------|--------------------------------|--------------------------------|-----------------------------------|------------------------------------------|
| Chile          |                                             |                               |                                |                                |                                   |                                          |
| Peru           |                                             |                               |                                |                                |                                   |                                          |
| Russia         |                                             |                               |                                |                                |                                   |                                          |
| Czech Republic |                                             |                               |                                |                                |                                   |                                          |
| Turkey         |                                             |                               |                                |                                |                                   |                                          |
| Indonesia      |                                             |                               |                                |                                |                                   |                                          |
| Korea          |                                             |                               |                                |                                |                                   |                                          |
| Philippines    |                                             |                               |                                |                                |                                   |                                          |
| Thailand       |                                             |                               |                                |                                |                                   |                                          |
| Argentina      |                                             |                               |                                |                                |                                   |                                          |
| Poland         |                                             |                               |                                |                                |                                   |                                          |
| Mexico         |                                             |                               |                                |                                |                                   |                                          |
| China          |                                             |                               |                                |                                |                                   |                                          |
| Israel         |                                             |                               |                                |                                |                                   |                                          |
| Hungary        |                                             |                               |                                |                                |                                   |                                          |
| India          |                                             |                               |                                |                                |                                   |                                          |
| Colombia       |                                             |                               |                                |                                |                                   |                                          |
| South Africa   |                                             |                               |                                |                                |                                   |                                          |
| Brazil         |                                             |                               |                                |                                |                                   |                                          |

<sup>1</sup> Green indicates "Adequate Fiscal Policy Space", Orange indicates "Limited Fiscal Policy Space", Red indicates "No Fiscal Policy Space"

\* Wells Fargo Estimate

Source: IMF, Bloomberg Finance L.P. and Wells Fargo Economics

|                   |                         |              |                                   |
|-------------------|-------------------------|--------------|-----------------------------------|
| Tom Porcelli      | Chief Economist         | 212-214-6422 | Tom.Porcelli@wellsfargo.com       |
| Tim Quinlan       | Senior Economist        | 704-410-3283 | Tim.Quinlan@wellsfargo.com        |
| Sarah House       | Senior Economist        | 704-410-3282 | Sarah.House@wellsfargo.com        |
| Aroop Chatterjee  | Senior Economist        | 212-214-8819 | Aroop.Chatterjee@wellsfargo.com   |
| Charlie Dougherty | Senior Economist        | 212-214-8984 | Charles.Dougherty@wellsfargo.com  |
| Michael Pugliese  | Senior Economist        | 212-214-5058 | Michael.D.Pugliese@wellsfargo.com |
| Brendan McKenna   | International Economist | 212-214-5637 | Brendan.Mckenna@wellsfargo.com    |
| Jackie Benson     | Economist               | 704-410-4468 | Jackie.Benson@wellsfargo.com      |
| Shannon Grein     | Economist               | 704-410-0369 | Shannon.Grein@wellsfargo.com      |
| Nicole Cervi      | Economist               | 704-410-3059 | Nicole.Cervi@wellsfargo.com       |
| Delaney Conner    | Economic Analyst        | 704-374-2150 | Delaney.Conner@wellsfargo.com     |
| Ali Hajibeigi     | Economic Analyst        | 212-214-8253 | Ali.Hajibeigi@wellsfargo.com      |
| Azhin Abdulkarim  | Economic Analyst        | 212-214-5154 | Azhin.Abdulkarim@wellsfargo.com   |
| Anagha Sridharan  | Economic Analyst        | 704-410-6212 | Anagha.Sridharan@wellsfargo.com   |
| Andrew Thompson   | Economic Analyst        | 704-410-2911 | Andrew.L.Thompson@wellsfargo.com  |

All estimates/forecasts are as of 3/3/2026 unless otherwise stated. 3/3/2026 10:36:20 EST.

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Bank, N.A. ("WFBNA"). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. WFBNA distributes this report directly and through affiliates including, but not limited to, Wells Fargo Securities, LLC, Wells Fargo & Company, Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our public website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by WFBNA. WFBNA does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of WFBNA.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by WFBNA to be reliable, but has not been independently verified by WFBNA, may not be current, and WFBNA has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of WFBNA and may differ from the views and opinions of other departments or divisions of WFBNA and its affiliates. WFBNA is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither WFBNA nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. WFBNA is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

You are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for your own use and for no other purpose. Without the prior written consent of WFBNA, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. "AI Technologies" means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment. In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by WFBNA, its affiliates or one or more third parties (collectively, "Protected Content"). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from WFBNA or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. All rights not expressly granted herein are reserved by WFBNA or the third-party providers from whom WFBNA has obtained the applicable information. © 2026 Wells Fargo Bank, N.A.

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority ("FCA"). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the "Act"), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU ("MiFID2"). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. ("WFSE"). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE